

CWH pitch deck

PITCH — CWH — PROPOSED VERDICT

REJECT — no position, watch-only with defined re-court triggers (PROPOSED — PENDING ADJUDICATION). Both benches independently reached no-entry; the blue bench softened the red bench's near-terminal framing to "watch with triggers" but did not overturn it.

What we believe

Camping World is not a buy at \$6.34, and it is not yet a confirmed zero either. The stock is down roughly 65% from its 52-week high of \$18.34, and the bull case — that this is a convex recovery bet on a cheap equity stub over a refinanceable balance sheet — fails on inspection of its own arithmetic:

- The headline "net debt ~\$1.31B" is computed against the smallest available debt basis. Adding total operating leases (\$874.7M), finance leases (~\$133M), and the \$1,324.2M floor-plan borrowing that finances the dealer inventory, the fixed-obligation stack is roughly **\$3.6 billion**.
- The deleveraging shown so far (\$222M of net-debt reduction; \$333M of year-to-date operating cash flow against only ~\$70M of six-month net income) is **mostly a one-time release of working capital from shrinking inventory** (new units down 16–18%), not earnings power. Real cash, yes — but not repeatable.
- Free cash flow at the twice-cut guidance midpoint (~\$250M EBITDA) works out to only ~\$50–75M a year after interest, lease charges, and capex. That does not get the balance sheet to a comfortable place before the debt maturities that begin springing in early 2028.
- The bull case's "normalized" \$400M EBITDA equals the **2017 peak** (\$394.2M). It is not fantasy — the store base is ~40% larger now — but it is a peak-cycle assumption made 18 months after a 15% industry-wide guidance cut. Meanwhile the modern trough (2019: \$166.0M) sits *below* the thesis's own \$180M bear case.

The honest concession cutting the other way: the floor-plan lending syndicate — the parties closest to the actual insolvency channel — recently **raised** capacity from \$1.85B to \$2.15B, leaving ~\$825M of nominal headroom. Lender behavior currently points away from stress. That is why this is a watch, not a write-off.

What the market believes

The market has already repriced this hard: –65% from the high, and the \$5.485 low is recent (price is only ~16% above it). At \$6.34 the enterprise value is about **7.9× the already-twice-cut EBITDA guide** — the market is pricing a damaged, levered, cyclical retailer, but *not* pricing distress or a restructuring. Two recent Schedule 13G filings (passive holders, including BofA) suggest institutional money treats this as an ordinary beaten-down position, not a workout. In short: the market believes

roughly what our benches concluded — damaged but probably solvent — which is exactly why there is no entry here.

Why we might have edge

- **We rebuilt the debt stack from the filing extract rather than accepting the headline number.** The ~\$3.6B fixed-obligation figure, versus the marketed \$1.31B, changes the leverage picture from “2.5–3× after recovery” to something much less refinance-friendly.
- **We identified the deleveraging as inventory liquidation, not earnings** — a distinction the recovery narrative glosses over.
- **We found a second springing-maturity linkage** neither the bull brief nor the red bench initially had: the revolver matures 2028-03-03 *or 91 days before the FreedomRoads floor-plan facility matures, whichever comes first*. The maturity wall is more interconnected than advertised.
- **We anchored the “normalization” debate in primary company releases:** 2017 peak \$394.2M, 2019 trough \$166.0M ([FY2018 results](#), [FY2019 results](#)).
- The court also produced a reusable insight: for floor-plan-financed retailers, **the floor-plan facility, not headline net debt, is the actual liquidity channel** — a screen we are adding to the toolkit.

Why it might be priced in

Symmetry demands this section carry real weight, because it is why the verdict is REJECT rather than SHORT:

- A 65% drawdown means the market has done most of the repricing already. There is no evidence of concealment — the guide cuts, unit declines, and margin compression are all disclosed and reflected.
- 7.9× cut-guide EBITDA is not distress pricing, but neither is it expensive for a franchise with the largest RV dealer network if the cycle turns.
- The floor-plan capacity *increase* is a genuine bull datum on the exact channel our bear analysis says matters most. If the lenders who see the inventory weekly are extending, the near-term insolvency scenario is weaker than the debt-stack arithmetic alone implies.
- Nothing forces action: the next catalyst (Q3 earnings, ~2026-10-27, unconfirmed) is ~2.5 months out, and our own falling-knife discipline says a recent low plus no catalyst equals wait.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count / “\$658M market cap” isn’t	10-Q via aggregator: 63.83M Class A ÷ 61.1%	≈104.5M total economic units — matches the brief’s 103.7M; valuation math stands	YES — attack run and cleared

Claim	How checked	Found	Confirmed?
understated by the dual-class structure	ownership of the operating LLC		
“Net debt \$1.31B, leverage 5.2×”	10-Q balance-sheet extract (stocktitan; SEC original blocked by 403)	Numbers accurate but exclude \$874.7M operating leases + \$1,324.2M floor plan; true fixed obligations ~\$3.6B. Bench error: red cited only the \$810.0M noncurrent lease portion; blue corrected to \$874.7M total	YES (numbers); framing is the finding
Deleveraging is earnings-driven	Q2-2026 results release : YTD operating cash flow +\$333M vs ~\$70M net income	Mostly working-capital release from inventory shrink. Bench error: red’s “nothing but liquidation” overread — the cash is real and inventory aging improved	YES, with blue’s reduction
Notes spring to 2028-03-05; revolver terms	Trade press + 8-K summary only; EDGAR primary text 403’d from both benches	Revolver: 2028-03-03 or 91 days before the floor-plan facility matures — a second springing linkage. Operative notes-spring language still unread	PARTIAL — dates corroborated, contract text unread
“\$400M normalized EBITDA is achievable”	Primary FY2018/FY2019 press releases	2017 peak was \$394.2M — so \$400M ≈ prior peak on a larger store base, not fantasy. Bench error: red asserted “FY19 ≈ \$290M”; actual FY2019 was \$166.0M — the correction cuts both ways (bear tail below the thesis’s \$180M)	YES — red corrected by blue
Floor-plan lenders are the stress channel	8-K summary of credit-facility amendment	Syndicate raised capacity \$1.85B→\$2.15B (~\$825M headroom). Bench error: red’s “every confirmed number feeds the zero” overreached against this datum	YES — bull-side finding
Live executable price	IBKR quote attempted from both benches	Permission denied; the pack’s \$6.34 stands as the price of record	NO — data gap
Tape framing (–65.4% drawdown, +15.6% off low)	Pack re-read after an automated misquote warning	Warning was a false positive (sign-rendering); red’s framing was consistent with the pack	YES

PROPOSED ENTRY BANDS

No entry at any price today. Both benches rule no-position; per court doctrine these are the **reopen (re-court) bands**, not buy orders — a trigger reopens the analysis, it never auto-buys:

- **Price reopen, downside: below \$5.49** (a new 52-week low, breaching \$5.485). Under the falling-knife rule this forces a fresh cause-check and a distress-pricing re-read — never an automatic purchase.
- **Fundamental reopen: Q3 print (~2026-10-27, date unconfirmed) holding EBITDA guidance of \$230–270M.** A hold at the cut guide with stabilizing unit trends is the red bench’s own stated mind-changer.
- **Document reopen: first successful primary read of the 10-Q liquidity note and credit-agreement springing-maturity text** once SEC site access is restored. These are the

discriminating documents; the entire refinancing question is unresolvable without them.

- **Credit reopen: the term loan trading near par**, or any floor-plan availability/curtailment change in either direction. The loan market's price on the same claim is a cheaper truth signal than our equity math.
- **Sizing**: 0% now. If a future re-court flips the verdict, the court's own framing (binary refinancing tail, peak-cycle bull case) implies a small starter at most, with adds gated on the 2028 maturity wall being addressed — to be set by that court, not this deck.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.49 (deck-provisional: new 52-week low (5.485) forces re-court under the falling-knife rule; never auto-buy)
- filing watch: 8-K,10-Q until 2027-02-07 (deck-provisional: credit-agreement amendments, floor-plan capacity/curtailment changes, and the unread liquidity note —)
- dated pack CWH|2026-10-27: CWH: Q3 2026 earnings — must hold \$230-270M EBITDA guide to trigger fundamental reopen (date confirmed=False)
- dated pack CWH|2028-03-03: CWH: revolver maturity (or 91 days before the FreedomRoads floor-plan maturity, whichever is first); notes spring 2028-03-05 (date confirmed

What remains unverified

- **The 10-Q liquidity note and the operative springing-maturity contract language** — SEC's site returned 403 errors environment-wide during the court; every debt-structure finding above rests on aggregator extracts and press summaries, not primary filings.
- **Covenant headroom and floor-plan curtailment terms** — the mechanics that would actually force a liquidity event.
- The claim that the dealership real estate backing the operating leases is **already sale-leasebacked** (i.e., the "collateral" supporting a refinance may be spent) — plausible, unread.
- **Term-loan interest-rate assumptions** in the free-cash-flow math — the credit agreement is unread, so the ~\$50–75M FCF estimate is directionally sound but not precise.
- **The next earnings date** (2026-10-27 is derived, not company-confirmed) and the **term loan's trading level**.
- **The live executable price** — IBKR access was denied to both benches; \$6.34 is the pack price, not a fresh quote.

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